

maintaining consistent clinical quality may become the industry's biggest differentiator.

While companies agree on the challenges, their approaches differ.

"The viable business model in India is around building the spectrum of care," says Malik. "Mental illnesses exist across different levels of severity, and patients often move between therapy, psychiatry, and inpatient care. That continuum is important."

Rocket Health has taken almost the opposite route. It remains entirely online, describing itself as 'a hospital on the internet' rather than a marketplace of independent therapists. According to Dr. Sinha, the company has considered opening physical centres, but only as brand experience hubs rather than essential treatment infrastructure. "We're not seeing consumers asking to move offline. Demand for online care itself is overwhelming," she adds.

For investors, neither model is inherently superior. What matters is whether businesses can build durable clinical infrastructure. "The winners won't simply be therapy apps," says Khaitan. "They'll be companies that build full-stack care models, supported by technology, data and clinical systems."

If AI is reshaping healthcare globally, mental healthcare presents a more nuanced opportunity. None of the stakeholders believe AI will replace therapists. Instead, they see technology improving efficiency.

For Fireside Ventures, AI's biggest opportunity lies in matching patients with therapists, improving clinical workflows and supporting decision-making rather than automating therapy itself.

That distinction is becoming increasingly important as start-ups navigate investor expectations around AI. In mental healthcare,



"The first frontier was awareness. Then came acknowledgement. Today, mental healthcare has reached the willingness-to-pay stage. Insurance was a watershed moment for this category"

ANKUR KHAITAN
PARTNER,
FIRESIDE VENTURES



"Mental healthcare is becoming a real healthcare sector. I don't see it as a fast-growing app or a wellness category anymore. The conversation has shifted from creating awareness to building delivery"

AMIT MALIK
CO-FOUNDER
AND CEO, AMAHA

trust remains difficult to automate.

The toughest question facing the sector is whether quality mental healthcare can also become commercially sustainable.

As healthcare has historically rewarded scale slowly, Dr. Sinha says that healthcare is a trust-based business. It cannot be scaled from zero to 200 overnight. One has to build it patiently, and quality has to remain at the centre of the efforts.

Pricing in this sector adds another layer of complexity. Experts say that start-ups are working towards making it affordable, mental healthcare is now at the cusp of being recognised as any other mainstream healthcare sector in this country.

For investors, this balancing act is central to the industry's future.

"The opportunity isn't simply to build another digital platform," says Khaitan. "It's to build healthcare infrastructure that creates better outcomes while sustaining itself economically."

CATEGORY BUILDING

Mental healthcare in India is, in many ways, where diagnostics or preventive healthcare once stood; recognised as important but still building the infrastructure needed to scale.

The road ahead remains challenging. India needs more trained clinicians, better insurance penetration, stronger quality standards and business models that can balance affordability with profitability.

The question is no longer whether Indians will seek mental healthcare, it is whether the ecosystem can build enough trust, talent and capacity to meet that demand.

For experts, the subtle shift—from crisis intervention to long-term emotional wellbeing—could define the industry's next phase. **BT**

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